

JM: Include other tags on top as necessary

Incorporates reductions from prior page

Preliminary

Bridge Charts (1/2) | Title...

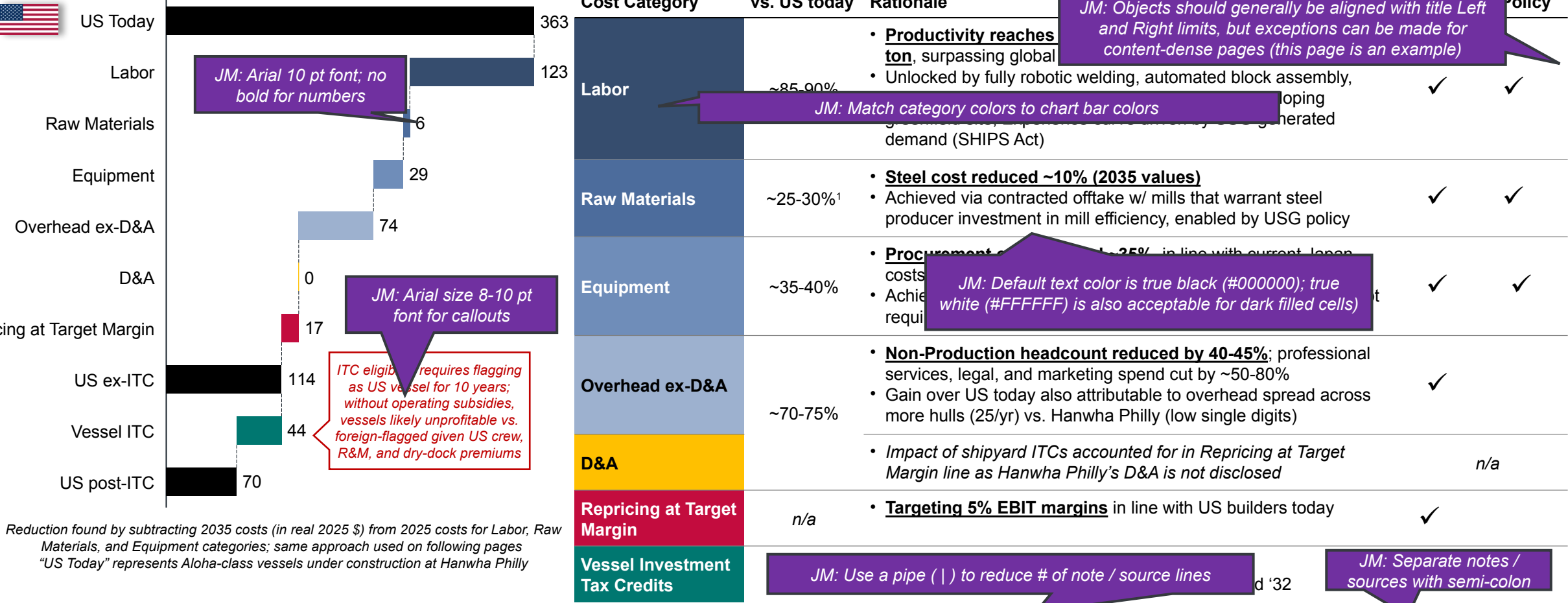
JM: Arial 20 pt. font; default to template width for box (12.34")

JM: Include Preliminary tag on all pages

JM: Arial 10 pt font; bold title

Newbuild Price Reduction Levers (\$M, '25E, for 3,600 TEU containership)

JM: Include currency, size (K, M, B), and real vs. nominal – for real, include year e.g., “'25E”; for nominal, state “nominal”



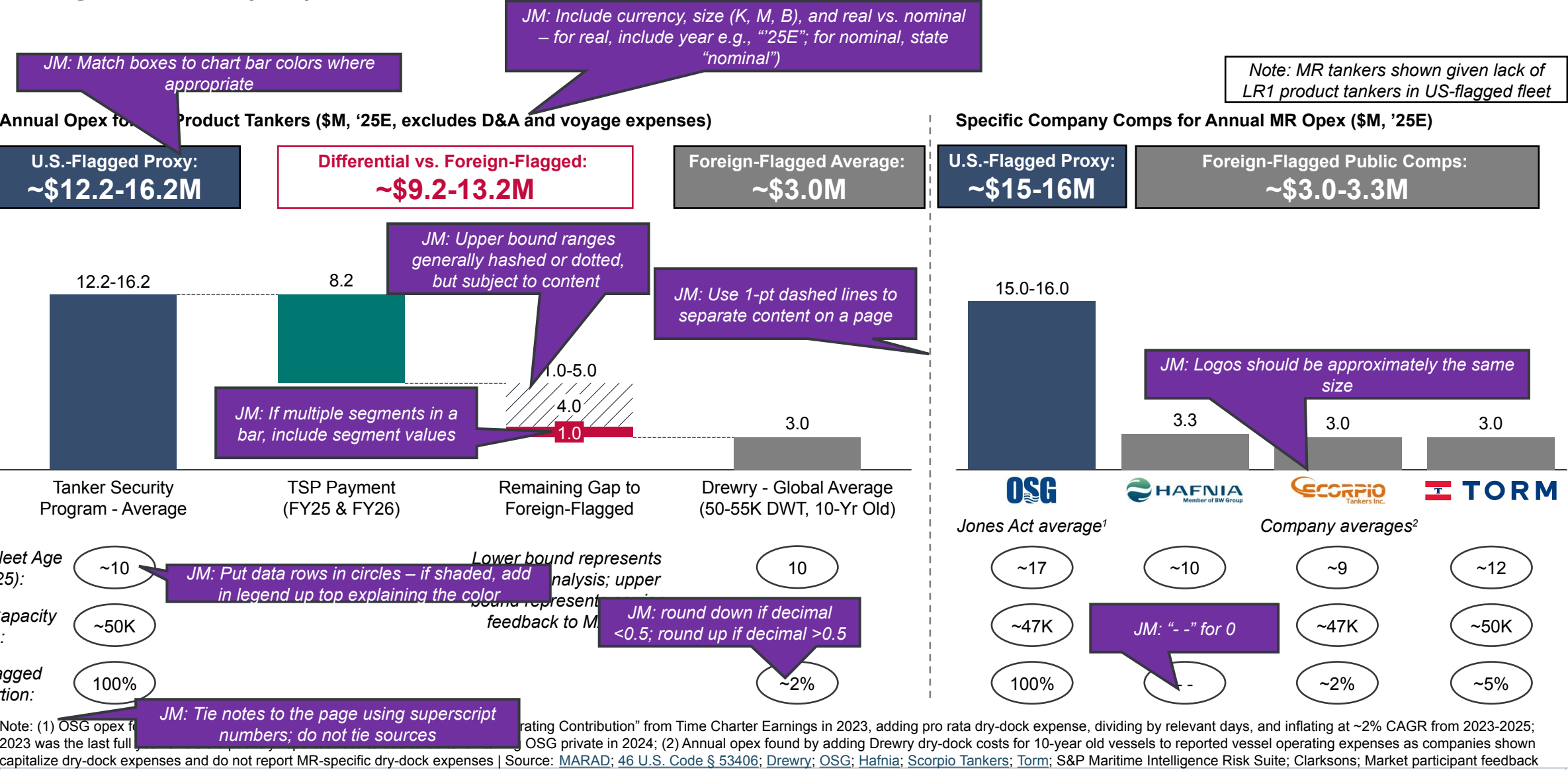
Note: (1) Raw material prices expected to see slower growth (~1% CAGR) than deflator 2.5%, driving differential between steel cost cuts and reduction vs. US Today | Source: [Building Ships in America](#); [FRED \(PPI, BE Inflation\)](#); S&P (Current and forecast prices, FX rates, US volumes and destinations); Clarksons (Orderbook); Market participant feedback (Service life, build assumptions); FMI (Labor hours); Internal estimates

JM: Always include notes + sources, written as "Note" and "Source" even if there are multiple notes / sources; 8 pt Arial font

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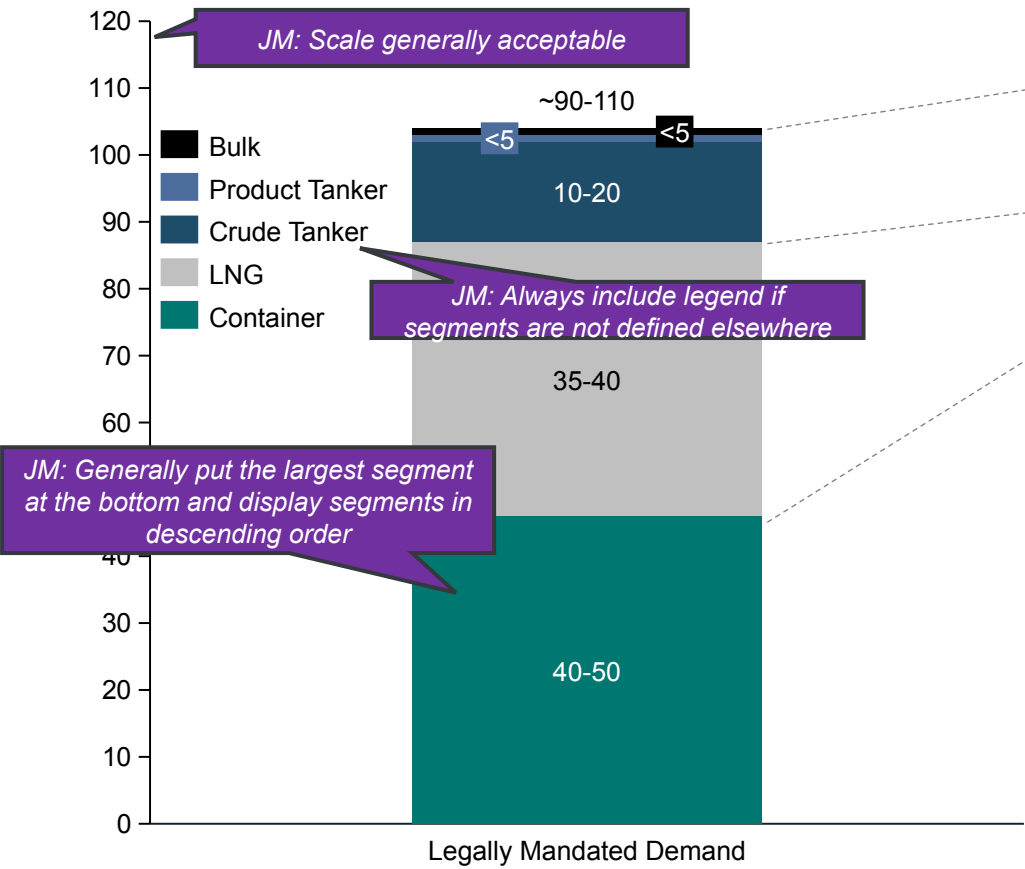
JM: Always hyperlink sources when able

Bridge Charts (2/2)



Bar Charts

SCF Supported by Legally Mandated Demand (# vessels)



Legally Mandated Demand from SHIPS Act Provisions			
Provision (Bill Section) Vessel Type Impacted	% of Cargo (Start – ramp end)	US-Built	US-Flagged
Crude Exports from the US SEC. 420 Crude Tankers	3% to 10% 2027-2040	Yes	Yes
LNG Exports from the US SEC. 420 LNG Ships	2% to 15% 2027-2047	Yes	Yes
China Imports to the US SEC. 415 Containerships	1% to 10% 2031-2040	Yes	Yes
US Government Cargo Preference SEC. 411 Containerships & Bulk	50% to 100% 180 days after bill passage	No	Yes
USDA Program Exports SEC. 418 Containerships		No	Yes

Vessel types Sealift Command needs in a contingency are precisely the ones the bill fails to incentivize.

Note: Captive demand considers current cargo volumes, growth rates, and annual vessel capacity (driven by number of trips / year, cargo capacity, and utilization)
Source: S&P Panjiva; Clarksons; SHIPS Act text; EIA AEO LNG Export Table; EIA AEO Crude Export Table; EIA Crude Tanker Descriptions; GAO Report on Government Preference Cargo

Tables

Opex Categories	Impact on Cost Differential vs. Foreign	Rationale (Source)	Final Detail
Crew	High	US crew cost differential vs. foreign driven by structural factors including: - Manning Requirements: - Two full crews for rotation 100% of officers and 75% of unlicensed crew must be US citizens (Market participant feedback; 46 USC 8103) - Compensation: - Licensed officers average ~\$290K fully burdened - Unlicensed personnel average ~\$185K fully burdened - Mariner shortage intensifies wage competition (Market participant feedback; Heritage; WSJ)	 First Officer Average Annual Salary: \$222,921 + up to a \$71,090 BONUS  Third Officer Average Annual Salary: \$156,502 + up to a \$57,414 BONUS  Electronics Technician Average Annual Salary: \$148,763 + \$67,243 Bonus  Assistant Cook Average Annual Salary: \$89,947 Military Sealift Command job postings substantiate US rates, and commercial operators pay ~10-20% above MSC (MSC job postings; Indeed)
Insurance	Moderate	- H&M premiums driven by US built hull vs. foreign - P&I premiums inflated by Jones Act crew injury liability (46 USC 30104)	"The maritime industry...is facing a new and formidable challenge: the rise of "nuclear verdicts" in personal injury cases, particularly those involving Jones Act seamen...typically defined as verdicts of \$10 million or more." "The unpredictability and magnitude of these verdicts has had a direct impact on the cost and availability of insurance for ship employers." – Blank Rome
Repair & Maintenance	Moderate	- R&M cost differential vs. foreign driven by policy and wage factors - Increased R&M costs due to 50% ad valorem duties on foreign repairs (Heritage Foundation; Title 19 – Customs Duties) - Analogous US labor ~2-7x greater than foreign counterparts i.e., shipyard workforce (USTR; BLS; news websites)	"Purchases for or repairs made to certain vessels while they are outside the United States are subject to declaration, entry, and payment of ad valorem duty." – 19 CFR Part 4 § 414

JM: Table lines:

- Top border - 1 pt, solid, true black
- Internal borders – ½ pt, solid (for content), gray #5 from template color (LHS color scale, at the bottom - #7F7F7F)
- Generally avoid vertical borders for content, but may be acceptable in certain circumstances - reference other materials for examples

JM: Bold headers

JM: All images should have shadow in lower right hand side; ensure images are the same size

JM: Bold row titles as appropriate

JM: Bullet lists; use dots for 1st level

JM: Use dashes for second level

JM: Differing font sizes acceptable to emphasize certain points and/or if certain cells have minimal info

JM: Place verbatims / quotes in quotation marks and italicize

JM: Denote gaps in quotes with ellipses

JM: No note / source box acceptable if sources are included in content (useful for tables)

Flow Charts

Chart reads from bottom to top

